

ICICI Bank Ltd

ICICIBANK · Financials

ROE

18.0%

ROCE

5.1%

Net Profit Margin

28.9%

Debt-to-Equity

6.45

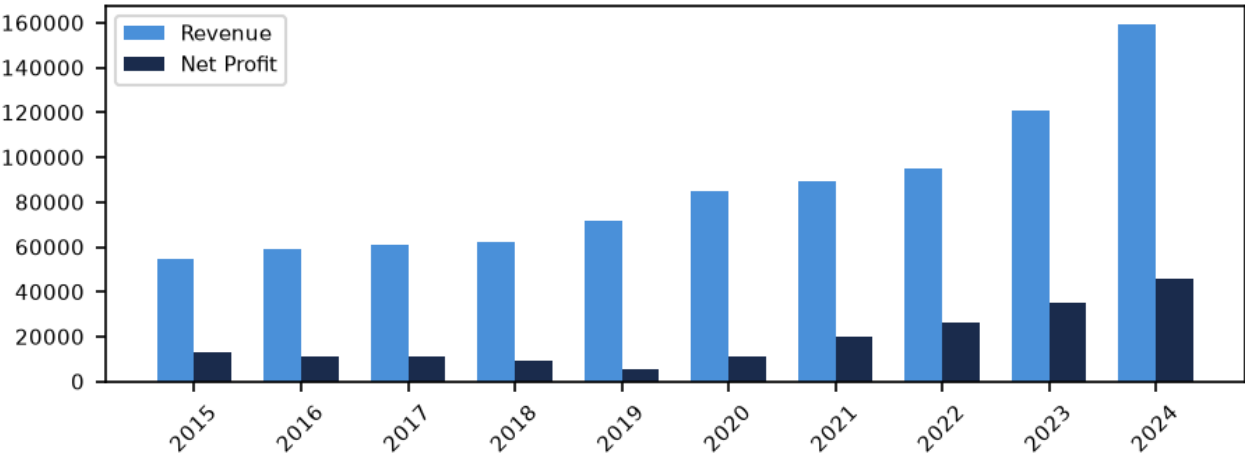
Revenue CAGR (5yr)

17.2%

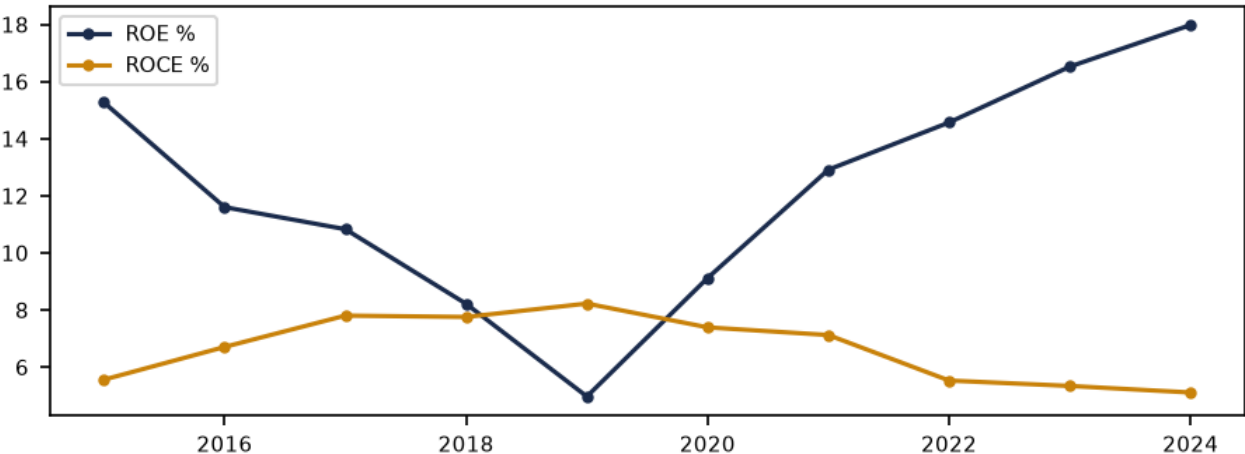
Free Cash Flow

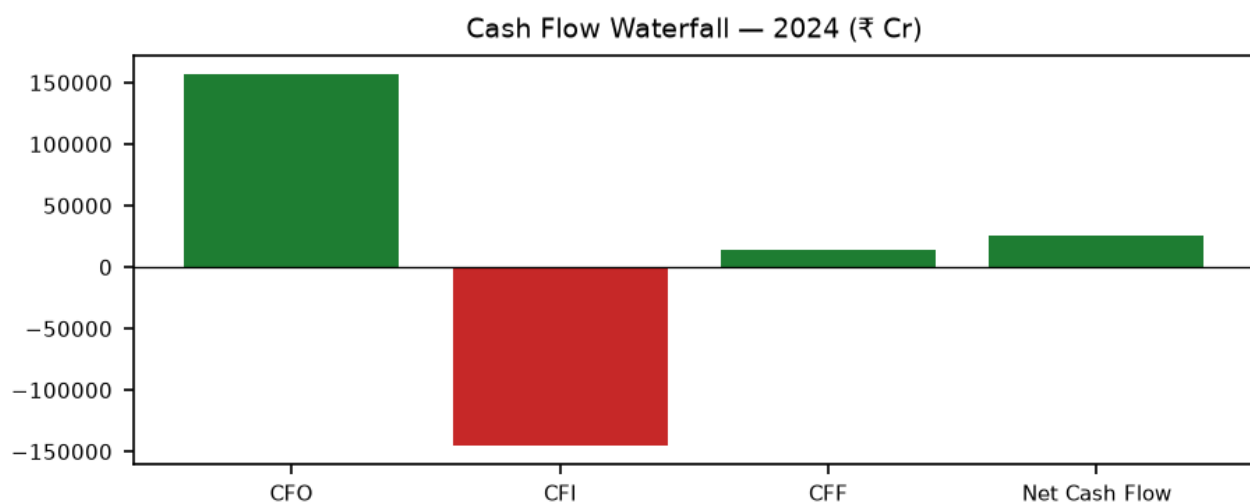
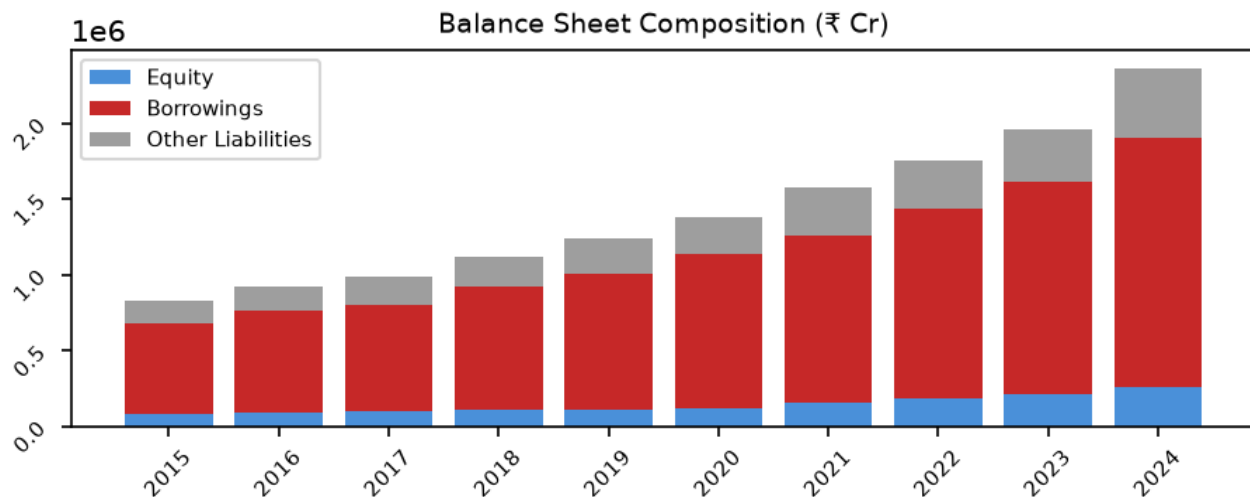
■12,547 Cr

Revenue vs Net Profit (₹ Cr)



ROE vs ROCE Trend (%)





Pros

- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits
- ✓ Consistent dividend yield above 2% backed by positive free cash flow

Cons

- ✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- ✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation: Growth Financing